

salary had been my goal, I would have been content with my job in the chemicals firm.

It was in the dying days of 1988 that I began a new chapter in my professional career. Shares had not caught the imagination of retail investors in a big way yet, though awareness about investing in them was steadily on the rise. Easy money had been made by the lucky few who had subscribed to the initial public offerings of some of the best multinational corporations like Colgate, Hindustan Lever, Cadbury, Ponds and the like in the late 1970s and early 1980s. The market was controlled by a group of powerful brokers who mostly speculated on stocks using their own money. Within this group, a smaller subset had the lion's share of whatever institutional business existed in those days. Other than these brokers, the major players in the market were the domestic institutions – Unit Trust of India being the Big Daddy of them all – and the promoters of companies themselves. In terms of the size of investment corpus, the Life Insurance Corporation was bigger than UTI, but it did not invest in equities as aggressively as UTI did. Foreign institutional investors (FIIs) would start flocking to India in a big way only 1993 onwards.

Brokerage rates were a princely 1.5 per cent at that time, which in some ways seemed justified because of the complications with physical shares. Despite the juicy commissions, brokers were careful about whom they would accept as clients as there were many dubious operators who would sell them fake shares. These would be detected only when the buyer sent them to the company to get them transferred to their ownership. The seller's broker would then have to replace the lot or refund the money to the buyer; and if his client did not oblige, he would have to make good the loss himself. That is why you needed somebody to recommend you to a broker before he would accept you as a client.

Investment based on the fundamentals of a company was still in its infancy. A big reason for this was the lack of sufficient publicly available information on companies. Whatever little information was available was from their balance sheets, which were dated by the time they came into the hands of the shareholders. And few brokerages, even when they were shareholders, sent representatives to the annual general meetings of companies, which were probably the only platform available to shareholders to meet up with managements and quiz them on their business. Still, many brokerages would claim they were the first ones to recommend